

Subject Description Form

Subject Code	AF3323
Subject Title	Investments and Portfolio Management
Credit Value	3
Level	3
Normal Duration	One Semester
Pre-requisite/ Co-requisite/ Exclusion	Pre-requisite: Business Finance (AF3313)
Objectives	The objective of this course is to offer a broad overview of investment management issues. We examine how individuals make choices among investment alternatives that have uncertain payoffs in the future. An understanding of risk and return for individual securities and portfolios is necessary for making these decisions. We then evaluate financial decision making for the market as a whole to describe the valuation process for different securities. This course helps achieve the objectives of BBA (Hons) in Digital Finance and Investments by enabling students to understand the analytical tools in finance (BBA Outcome 9), and help them to apply the data analytics skills to solve investments and portfolio management problems (BBA Outcome 14).
Intended Learning Outcomes	Upon successful completion of this subject, students should be able to: - Understand risk and return in financial markets. (BBA Outcome 9) - Conduct security analysis and portfolio analysis. (BBA Outcome 14) - Understand and implement passive or active portfolio management strategies. (BBA Outcome 14) - Conduct portfolio performance evaluation. (BBA Outcome 9)
Subject Synopsis/ Indicative Syllabus	The Investment Environment Investment process; Asset classes and financial instruments; Trading mechanism; Short sales; Mutual funds and institutional investors Investment Management Process Policy statement; asset allocation strategy; portfolio construction and implementation; International issues Portfolio Theory Risk and risk premium; Risk aversion; Asset allocations; Portfolio risk and diversification benefit Asset Pricing Models Single-index model; CAPM; Multifactor models

	Efficient Market Hypothesis Market efficiency; Market anomalies; Implications of EMH on trading strategies Behavioral Finance & Empirical Evidence on Security Returns Errors in information processing; Behavioral biases; Prospect theory; Limits to arbitrage. Fundamentals of Equity Valuation Fundamental analysis; valuation concepts and methods; valuation models such as dividend discount model; relative valuation such as P/E based models. Fixed-income Portfolio Management Theories of Term structure; Interest rate risk; Duration; Convexity; Passive bond management Equity Portfolio Management Strategies Asset allocation strategies; active, passive and semi-active portfolio management strategies Portfolio Performance Evaluation Various performance measures; Market timing; Performance attribution					
Teaching/Learning Methodology	The theoretical aspects of this course will be covered by lectures. Active class participation is encouraged to allow a direct exchange of ideas among the instructor and students. Newspaper articles and case studies will be used to demonstrate the application of ideas and to connect to the real-world practice. The group project is designed for students to gain hands-on experience in constructing an optimal portfolio and implementing a trading strategy.					
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed			
			a	b	c	d
	1. Case study & participation (Individual essay)	15% (10%)	√	√	√	√
	2. Mid-term test	20%	√	√	√	
	3. Group project	15%	√	√	√	
	4. Final examination (Individual essay)	50% (5%)	√	√	√	√
	Total	100 %				

	Class participation – Students are encouraged to participate actively in class discussion. Mid-term test – The test is used to examine students’ understanding of the teaching materials and to provide timely feedback. Group Project – The project is designed for students to get a hands-on experience with a practical problem and to allow the students to contribute to the learning process. Final Examination – Final examination is to test students’ overall attainment of the intended learning outcomes. <i>Note: The specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of subject lecturers.</i>	
Student Study Effort Expected	Class contact:	
	▪ Seminars	39 Hours
	Other student study effort:	
	▪ Self-study including reading textbook and preparation for quizzes, assignments and examination	55 Hours
	▪ Preparation for group project	20 Hours
	Total student study effort	114 Hours
Reading List and References	Bodie, Kane, and Marcus, <i>Essentials of Investments</i>, 13th Edition. McGraw-Hill Education, 2024. Bodie, Kane, and Marcus, <i>Investments</i>, 13th Edition. McGraw-Hill Education, 2024. Reilly, Frank K., and Keith C. Brown, <i>Analysis of Investments and Management of Portfolios</i>, 10th Edition. Cengage Learning, 2012.	